

How Major Leagues Price Technology Partnerships

This document provides a comprehensive financial breakdown of every major league-wide technology deal across MLB, NBA, and NFL. Each entry includes the company background, deal structure, rollout methodology, measurable results, and all publicly available financial terms. These deals collectively inform the pricing architecture for deploying an AI-powered injury prevention system at the league level.

MLB-Incubated Technology

MLB-INCUBATED / ACQUIRED

BAMTech / MLB Advanced Media

\$3.83B+ total

2000-2022 | MLB-incubated tech company spun off and acquired by Disney | Now: Disney Streaming Services

WHAT IT IS

MLB Advanced Media (MLBAM) was created in 2000 by Commissioner Bud Selig to consolidate the digital media rights of all 30 MLB teams under one umbrella. What started as a website and ticket-selling operation evolved into the most advanced live video streaming technology in the world, years ahead of Netflix, YouTube, or any competitor. MLBAM developed proprietary streaming infrastructure that could deliver live video to millions of concurrent users with broadcast-level reliability. By 2014, it had streamed over 2 billion live games and powered platforms including WatchESPN, HBO Now, the 2014 FIFA World Cup, NHL, PGA Tour, and WWE Network. In 2015, the streaming technology division was spun off as BAMTech, which Disney ultimately acquired to power Disney+, Hulu, and ESPN+.

ROLLOUT

2000: Selig asks all 30 MLB teams to invest \$1M/year for four years, creating a \$120M funding target. Revenue came faster than expected, and only \$77M of the original \$120M was ever needed. 2002: First-ever MLB game streamed online (Yankees vs. Rangers, August 26). Three years before YouTube was founded. 2003: MLB.tv launched at \$79.95/season, signing 100,000 subscribers. 2005: MLBAM acquires Tickets.com for \$66M. 2008-2014: MLBAM expands to power streaming for CBS March Madness, WatchESPN, HBO Now, WWE Network, PGA Tour, and others. Forbes calls it 'the biggest media company you've never heard of' in 2014. February 2015: Streaming division spun off as BAMTech. August 2015: NHL signs 6-year, \$600M deal with BAMTech, receiving a 10% equity stake. August 2016: Disney acquires 33% stake for \$1B. August 2017: Disney acquires additional 42% for \$1.58B, bringing total to 75% controlling stake. Bob Iger calls it 'the beginning of the reinvention of the Walt Disney Company.' BAMTech rebranded as Disney Streaming Services. August 2021: Disney buys NHL's 10% stake for \$350M. November 2022: Disney buys MLB's remaining 15% stake for \$900M. Disney now owns 100%.

RESULT

BAMTech became the technology backbone of the entire Disney streaming empire, powering Disney+, Hulu, and ESPN+. MLB's initial \$77M investment across 30 teams generated a return of approximately \$2.55B+ in sale proceeds, roughly \$85M per team and a 33x return on invested capital. Each MLB team received approximately \$33M from the initial Disney investment (2016) and an additional ~\$52M from the subsequent transactions. The BAMTech story represents the single most successful technology investment in the history of professional sports and fundamentally shaped MLB's approach to technology partnerships. It proved that league-incubated technology, when properly scaled, can generate returns that dwarf the original investment by orders of magnitude.

WHY THIS MATTERS FOR ACIS

BAMTech is the foundational case study for how MLB thinks about technology: build or invest early, retain equity, and capture upside. MLB will expect a similar dynamic in any ACIS partnership. They will want equity participation, not just a vendor-customer relationship. The BAMTech precedent also establishes that MLB is willing to act as a centralized technology buyer on behalf of all 30 teams, deploying league-wide infrastructure rather than leaving it to individual clubs. This is exactly the deployment model ACIS would use.

KEY FINANCIALS

MLB teams' initial investment (2000-2003)	\$77M total (\$2.6M avg/team)
Tickets.com acquisition (2005)	\$66M
NHL deal with BAMTech (2015)	\$600M / 6 years + 10% equity
Disney acquires 33% stake (Aug 2016)	\$1.0B
Disney acquires add'l 42% to reach 75% (Aug 2017)	\$1.58B
Implied BAMTech valuation at 75% deal	~\$3.75B
Disney acquires NHL's 10% (Aug 2021)	\$350M
Disney acquires MLB's 15% (Nov 2022)	\$900M
Total Disney acquisition cost	\$3.83B
Per-team distribution to MLB owners	~\$85M each (~\$2.55B total)
ROI on original \$77M investment	~33x return

AI Injury Prevention (Closest ACIS Comparables)

CLOSEST ACIS COMPARABLE

NFL "Digital Athlete" + AWS

\$60M+ program

Ongoing since 2019 | League-wide AI injury prediction platform | All 32 NFL teams

WHAT IT IS

The Digital Athlete is an AI-powered injury prediction platform built jointly by the NFL and Amazon Web Services (AWS). It creates a virtual simulation of every NFL player by combining multiple data sources: RFID tracking data from chips in players' shoulder pads (provided by Zebra Technologies), footage from 38 5K optical tracking cameras per field capturing 60 frames per second, weather and environmental data, equipment specifications, play type classifications, and aggregated anonymized injury data across the league. AWS applies machine learning and computer vision to this data to run millions of game simulations, identifying which players are at highest risk of injury based on their workload, movement patterns, and position-specific risk factors.

ROLLOUT

The concept originated during an NFL visit to GE's innovation lab, where Jennifer Langton (SVP Player Health and Innovation) saw digital twin technology used to predict turbine engine failures. The NFL evaluated Microsoft, Google, and AWS before selecting AWS as the technology partner. AWS had been the NFL's cloud computing partner since 2017 through the Next Gen Stats platform. The Digital Athlete was developed through the NFL's \$60M+ Engineering Roadmap, managed by Football Research, Inc. (FRI). It was piloted with select teams in 2023, then deployed to all 32 NFL clubs for the 2024 season via a centralized team portal. The portal provides each team with daily training volume data, individualized injury risk scores, and league-wide trends and benchmarks. Coaches and training staff use it to manage practice intensity, in-season workloads, position-group fatigue, and individualized recovery protocols.

RESULT

In 2024, the NFL recorded a 17% reduction in concussions compared to 2023, the lowest concussion rate since the league began tracking. The platform also informed the design of the new Dynamic Kickoff rule (reducing kickoff returns by 7%, projected to cut concussions from those plays by 15%) and drove improvements in helmet design and manufacturing based on impact force data. The system identified position-specific injury patterns, such as quarterbacks being more susceptible to rear head injuries when bracing the ball during a rush. Teams report using the platform for individualized training camp scheduling, weekly practice intensity management, and soft-tissue injury prevention.

WHY THIS MATTERS FOR ACIS

This is the single closest structural comparable to ACIS. Both are league-wide AI-powered injury prevention platforms deployed to all teams via a centralized portal with team-specific and league-wide benchmarking. The key difference: AWS likely subsidizes Digital Athlete costs in exchange for brand/marketing value as a \$100B+ company. ACIS should price at full standalone value since Baseline does not have that dynamic. The 17% concussion reduction is the strongest available proof point that league-wide AI injury prevention produces measurable, documentable outcomes.

KEY FINANCIALS

NFL Engineering Roadmap budget	\$60M+ (funded by NFL, managed by FRI)
AWS as NFL cloud partner (since 2017)	Undisclosed annual terms
Estimated annual platform cost	Likely subsidized by AWS for marketing ROI
Concussion reduction achieved	17% (2023-2024)
Teams with portal access	32 of 32 (100%)

CLOSEST ACIS COMPARABLE

Second Spectrum + NBA

~\$42M/yr est.

6-year deal (2016-2022) | AI tracking and analytics platform | All 30 NBA teams | Acquired by Genius Sports for \$200M

WHAT IT IS

Second Spectrum was an AI analytics company founded in 2013 by three USC computer science professors. It developed the 'Eagle' machine learning platform for real-time player and ball tracking, using camera-based optical tracking systems installed in all 30 NBA arenas. The system captured every player movement and ball trajectory, then applied machine learning to generate advanced analytics: shot probability, defensive positioning effectiveness, play classification, and predictive modeling. Second Spectrum served as the NBA's official optical tracking provider, replacing the previous SportVU system. It also expanded to the English Premier League (EPL) and Major League Soccer (MLS) before being acquired by Genius Sports for \$200M in 2021.

ROLLOUT

The NBA announced a combined \$250M, 6-year partnership with both Sportradar (data distribution) and Second Spectrum (tracking + analytics) in 2016. Second Spectrum's share was estimated at roughly \$20-25M/year for the base league contract. Camera hardware was installed in all 30 NBA arenas. The critical innovation was a tiered pricing architecture: a base tier of raw tracking data and standard analytics was included in the league contract for all 30 teams. A premium tier offering advanced machine learning capabilities, custom modeling, and deeper predictive analytics was sold as a per-team add-on. 26 of 30 NBA teams (87%) paid extra for the premium tier, demonstrating strong demand for AI-powered analytics beyond baseline monitoring. When the NBA restructured its tracking ecosystem in 2023, the technology stack was unbundled: Sony's Hawk-Eye took over raw optical tracking, Sportradar continued data distribution (at a dramatically higher \$1B+ price), and Genius Sports (which had acquired Second Spectrum) retained the team-facing analytics layer.

RESULT

Second Spectrum became the foundational analytics infrastructure for the entire NBA. Its data powered team analytics departments, broadcast augmented reality graphics, and league-wide research initiatives. The 87% premium upgrade rate validated that teams will pay substantially more for advanced AI capabilities beyond basic monitoring. When the NBA restructured in 2023, the analytics layer retained standalone commercial value separate from raw tracking hardware, proving that the intelligence layer (what ACIS represents) has independent pricing power.

WHY THIS MATTERS FOR ACIS

The tiered pricing architecture is the ideal template for ACIS: base monitoring for all 30 MLB teams under the league contract, premium predictive analytics as a per-team upsell. The 87% upgrade rate (26/30 teams) proves teams will pay more for advanced AI beyond baseline. The \$200M acquisition by Genius Sports validates standalone value for AI analytics companies in sports.

KEY FINANCIALS

Combined NBA deal (Sportradar + Second Spectrum)	\$250M / 6 years (~\$42M/yr)
Second Spectrum estimated annual share	\$20-25M/yr (league contract)
Premium tier adoption	26 of 30 teams (87%)
Genius Sports acquisition of Second Spectrum	\$200M (2021)
NBA Sportradar renewal (data distribution)	\$1B+ / 8 years

NBA equity stake in Sportradar

3%

Data Licensing Deals

DATA LICENSING / EQUITY HYBRID

Sportradar + MLB

\$37.3M equity + annual fees

8-year exclusive deal (2025-2032) | Real-time game data distribution | Cash + equity hybrid structure

WHAT IT IS

Sportradar AG is a global sports data and technology company headquartered in Switzerland, publicly traded on NASDAQ (SRAD). It provides real-time game data, odds feeds, and integrity services to sportsbooks, media companies, and sports leagues worldwide. For MLB, Sportradar serves as the exclusive distributor of official real-time game data to the sports betting ecosystem and media partners. This means every licensed sportsbook that offers MLB betting must source its live game data through Sportradar.

ROLLOUT

The expanded exclusive partnership was announced in February 2025, extending through 2032 (8-year term). Under the deal, MLB received 1,855,724 Class A ordinary shares of Sportradar, worth approximately \$37.3M at signing. Sportradar pays undisclosed annual license fees for exclusive rights to distribute MLB's real-time game data. This follows the model established across other major leagues where the data distributor pays the league for exclusive access. The deal replaced and expanded a prior Sportradar-MLB relationship, indicating satisfaction with the partnership structure.

RESULT

The equity component is the most significant structural signal. MLB now holds a direct equity stake in its data distribution partner, aligning long-term incentives. If Sportradar's stock appreciates, MLB benefits beyond the annual cash payments. The 8-year exclusive term provides both parties with planning stability and justifies higher capital investment from Sportradar in MLB-specific capabilities.

WHY THIS MATTERS FOR ACIS

MLB will almost certainly expect an equity stake in Baseline as part of any league-wide deal. The Sportradar deal establishes the cash-plus-equity hybrid as MLB's preferred deal structure. The 8-year duration is a benchmark for contract length. Plan for this in your cap table and term sheet.

KEY FINANCIALS

Equity granted to MLB	1,855,724 Class A shares (~\$37.3M)
Annual license fees	Undisclosed
Contract duration	8 years (2025-2032)
Exclusivity	Yes (sole distributor of real-time data)
Sportradar NBA deal (comparison)	\$1B+ / 8 years + 3% equity to NBA
Sportradar market cap (ref)	~\$10B (NASDAQ: SRAD)

DATA LICENSING / EXCLUSIVITY PREMIUM

Genius Sports + NFL

~\$120M/yr

4+3 years (2021-2029) | Exclusive real-time data distribution to sportsbooks | Replaced prior Sportradar deal

WHAT IT IS

Genius Sports Limited (NYSE: GENI) is a sports data and technology company that became the NFL's exclusive distributor of real-time data to sportsbooks in 2021, replacing Sportradar. Genius also acquired Second Spectrum (the NBA's tracking and analytics provider) for \$200M in 2021, giving it analytics capabilities across NBA, EPL, MLS, and WNBA. The NFL deal is a pure data monetization play focused on the legal sports betting market.

ROLLOUT

The NFL ran a competitive bidding process between Sportradar and Genius Sports for the exclusive data distribution rights. Under the prior non-exclusive arrangement with Sportradar, the NFL received approximately \$20M/year. By granting exclusivity and running a competitive process, the NFL drove the price to approximately \$120M/year, a 5-6x increase. The initial contract was 4 years. In 2023, the NFL and Genius Sports extended the deal by 3 additional years through 2029, demonstrating satisfaction with the partnership.

RESULT

This deal established the highest-value data distribution agreement in professional sports. It definitively proved that exclusivity is the single most powerful pricing lever in league-wide technology partnerships. The 5-6x price increase from non-exclusive to exclusive demonstrates the premium that scarcity commands.

WHY THIS MATTERS FOR ACIS

The exclusivity premium is the critical insight. If ACIS can secure exclusive positioning as MLB's official AI-powered pitcher injury prevention system, pricing should reflect a 2-5x premium over what a non-exclusive arrangement would command. The ~\$120M/yr figure is not directly comparable (it is a betting data play), but the structural lesson about exclusivity pricing absolutely applies.

KEY FINANCIALS

Annual rights fees (estimated)	~\$120M/yr
Prior non-exclusive deal (Sportradar)	~\$20M/yr
Price increase from exclusivity	5-6x
Contract term	4 years + 3-year extension (2021-2029)
Genius Sports acquisition of Second Spectrum	\$200M (2021)
Genius Sports market cap (ref)	~\$2.5B (NYSE: GENI)

Tracking Infrastructure Deals

TRACKING INFRASTRUCTURE

Hawk-Eye (Sony) + MLB Statcast

Est. \$20-80M/yr

Multi-year (2020-present) | Camera-based ball and player tracking | All 30 MLB + 60+ MiLB stadiums

WHAT IT IS

Hawk-Eye Innovations, owned by Sony Group Corporation, provides the tracking technology that powers MLB's Statcast system. Hawk-Eye replaced TrackMan as MLB's official tracking provider starting in 2020. The system uses 12 high-resolution cameras per stadium to track ball flight (pitch velocity, spin rate, movement), player positioning, sprint speed, and defensive metrics in real-time. In October 2024, Sony acquired KinaTrax, Inc., a markerless biomechanical motion capture company that was already deployed in 100+ professional stadiums. This acquisition consolidated ball tracking and biomechanical analysis under one corporate entity.

ROLLOUT

MLB centrally procured and deployed Hawk-Eye across all 30 MLB stadiums, 60+ minor league venues, and 25+ spring training facilities. The deployment was managed by MLB's Commissioner's Office (led by CTO Jason Gaedtke), ensuring equal technology access for all teams. The transition from TrackMan to Hawk-Eye was phased across venues. Hawk-Eye's EPL precedent provides a per-venue benchmark: approximately \$250K+ per stadium installation, though MLB's system is substantially more complex (12 cameras vs. goal-line only). The Sony/KinaTrax acquisition in 2024 added markerless biomechanical tracking to the existing camera infrastructure.

RESULT

Hawk-Eye/Statcast powers the entire MLB analytics ecosystem used by every team, broadcast partner, and fan-facing product. It generates the underlying pitch tracking, exit velocity, sprint speed, and defensive positioning data that has transformed how teams evaluate players and make in-game decisions. The data is the raw material that systems like ACIS would consume and process.

WHY THIS MATTERS FOR ACIS

ACIS sits on top of Hawk-Eye/Statcast data rather than competing with it. This is complementary infrastructure. ACIS is the intelligence layer that makes Statcast biomechanical data actionable for injury prevention, which neither Hawk-Eye nor KinaTrax currently does at scale. The Sony/KinaTrax consolidation is a competitive landscape factor to monitor, but it reinforces that there is no existing league-wide injury prevention analytics layer.

KEY FINANCIALS

Annual licensing (estimated range)	\$20-80M/yr
Per-venue installation cost (EPL benchmark)	~\$250K+/stadium
Total venues deployed	30 MLB + 60+ MiLB + 25+ spring training
Cameras per MLB stadium	12 high-resolution
Sony acquisition of KinaTrax (Oct 2024)	Undisclosed
Hawk-Eye EPL total investment	\$5M+ across 20 clubs + Wembley

TRACKING INFRASTRUCTURE

Zebra Technologies + NFL

Est. low tens of millions/yr

12+ consecutive seasons (2014-present) | RFID/UWB player tracking | All 32 NFL teams | Rolling 3-year renewals

WHAT IT IS

Zebra Technologies Corporation (NASDAQ: ZBRA) provides RFID and ultra-wideband (UWB) tracking chips embedded in every NFL player's shoulder pads. The system tracks real-time location, speed, acceleration, distance traveled, and acceleration for all players on every play. This data feeds into the NFL's Next Gen Stats platform (powered by AWS) and is a foundational input to the Digital Athlete injury prediction system. Zebra upgraded from RFID to higher-precision UWB technology during the partnership.

ROLLOUT

Zebra's tracking system has been deployed league-wide across all 32 NFL teams since 2014. The partnership has been renewed consistently in 3-year increments, now running for 12+ consecutive seasons. The technology upgrade from RFID to UWB demonstrates how hardware partnerships evolve to deliver higher-fidelity data over time. The per-venue deployment includes hardware installation, ongoing maintenance, and data processing/transmission.

RESULT

Zebra created the foundational player tracking data layer that powers every NFL analytics product, from broadcast graphics to the Digital Athlete injury prediction platform. Once embedded in league operations and integrated into team workflows, the technology became deeply entrenched and virtually impossible to replace. The 12+ year unbroken relationship demonstrates the stickiness of league-wide tracking infrastructure.

WHY THIS MATTERS FOR ACIS

Less directly relevant since ACIS is a software/analytics layer, not hardware. But the 12+ year sustained partnership demonstrates a critical principle: once tracking infrastructure is embedded in league operations, it becomes indispensable. Get in early, become the standard, and the relationship compounds over time.

KEY FINANCIALS

Annual contract value (estimated)	Low tens of millions/yr
Contract structure	Rolling 3-year renewals
Partnership duration	12+ consecutive seasons (2014-present)
Teams covered	32 of 32 (100%)
Technology evolution	RFID to UWB upgrade during contract
Zebra Technologies market cap (ref)	~\$17B (NASDAQ: ZBRA)

Summary: Total Financial Landscape

Across these seven deals, the total documented transaction value exceeds \$6 billion. MLB's own BAMTech experience, where a \$77M investment returned \$2.55B+ (33x), fundamentally shapes how the league approaches technology partnerships today. MLB will expect equity participation, centralized deployment, and long-term alignment in any league-wide deal. The pricing range for an ACIS-type deployment (AI-powered analytics layer across all 30 teams) falls between \$15-50M/year, positioned between the data distribution mega-deals (\$100M+/yr) and per-team analytics subscriptions (\$3-15M aggregated). Against MLB's \$641M annual cost of pitcher injuries, this represents just 2-8% of the problem's economic value.

DEAL COMPARISON MATRIX

Deal	Value	Duration	Structure	ACIS Relevance
BAMTech / MLBAM	\$3.83B total	2000-2022	MLB-incubated, Disney acquired	Foundational
NFL Digital Athlete + AWS	\$60M+ program	Ongoing	League-wide AI platform	Highest (95%)
Second Spectrum + NBA	~\$42M/yr	6 years	Tiered license + upsell	Very High (90%)
Sportradar + MLB	\$37M eq + annual	8 years	Cash + equity exclusive	Structural (55%)
Genius Sports + NFL	~\$120M/yr	4+3 years	Exclusive data rights	Pricing ref (45%)
Hawk-Eye + MLB Statcast	Est. \$20-80M/yr	Multi-year	HW + SW infrastructure	Complementary (70%)
Zebra Technologies + NFL	Est. low tens M/yr	12+ seasons	HW tracking / 3-yr renew	Entrenchment (35%)